

HOW MUCH TO INVEST TO MEET THE GOAL?

So far we have covered the broad asset allocation and understood the categorization based on risk-taking ability. We have also seen how we begin with the highest priority goal and then move ahead to less important goals. We have also seen how timeline and focus on shorter-term goals also have implications on how we route our finances. Lastly, we need to determine the amount of money that we need to invest today so that we have the required funds when the time comes.

Determining the amount of money revolves around the concept of 'Time Value of Money'. Let us understand the implications of the same. We will use the SIP calculator available on the Groww website to calculate the number of investments we need to make today. We can use other SIP calculators also. We can access this calculator here - <https://groww.in/calculators/sip-calculator/>

